THE TRUSTEES FOR THE TIME BEING FOR BELLA ROSA TRUST BROADWAY INVESTMENTS (PRIVATE) LIMITED
versus
SPIWE CHIDAWU
and
REGISTRAR OF COMPANIES N.O.

HIGH COURT OF ZIMBABWE
KATIYO J
HARARE; 13 February 2025

Court Application

T Mazikana, for the applicants
Adv Mapuranga with *N Zhou,* for the first respondent

Introduction

KATIYO J: The proceedings before this court are that of a court application for a declarator in terms of section 14 of the High Court Act [*Chapter 7:06*]. It is the applicant's argument that they followed all the requirements and fulfilled all the requirements in order to remove a director from their position. The applicants maintain their position that the principles outlined in the Companies and Other Business Entities Act were correctly followed in both the court application and the subsequent answering affidavit. The first respondent on the other hand raises four preliminary points namely

1. Material non-disclosure
2. Material disputes of fact
3. *Res judicata*
4. Lack of locus standi
5. Failure to meet the requirements of a declarator

Points in Limine

1. Material Non-Disclosure

The first Respondent submitted that the Applicants approached this Court with unclean hands by deliberately failing to disclose material facts relevant to the determination of this matter. In particular, it was not disclosed that the deponent to the founding affidavit,

one **Ropafadzo Sibusiso Chidawu**, had previously fraudulently altered the CR6 records of the second Applicant company to remove the first Respondent as a director and falsely represented to the Registrar of Companies that the first Respondent was deceased These fraudulent acts were subsequently unearthed and reversed through valid court orders, namely **HCHC429/22** and **HCHC307/22**, which were attached to the first Respondent's opposing papers.

These orders conclusively declared that the deponent was not a director of the second Applicant and reinstated the first Respondent as a lawful director.

The law is settled that a litigant who seeks relief must disclose all material facts, even those adverse to their case. In *Hazel Ncube v Victor Mpofu & Kenneth T. Mubetwa HB 121/11,* the court held that failure to disclose material facts is sufficient ground to non-suit an applicant.

The omitted facts in casu are neither peripheral nor academic. They go to the root of the dispute, namely the legitimacy of the Applicants' claim to control the second Applicant and the authority of the deponent. This Court finds that the non-disclosure was deliberate and material, warranting dismissal of the application on this ground alone.

2. Material Disputes of Fact

The first Respondent further argued that the application is fatally defective as it raises material disputes of fact incapable of resolution on affidavit.

The Applicants allege that the second Applicant is wholly owned by the Bella Rosa Family Trust. This allegation is squarely disputed by the first Respondent, who avers that no valid resolution was ever passed by shareholders to transfer shares to the said Trust, and that she has been a director since 1991, a position confirmed by **HCHC307/22**.

In *Supa Plant Investments (Pvt) Ltd v Chidavaenzi HH 92/09*, the court defined a material dispute of fact as one which leaves the court with no ready answer without further evidence. Similarly, in *Afrasia Bank of Zimbabwe v Rio Zimbabwe Ltd HH 17/79*, the court held that where facts are seriously disputed, the court may dismiss the application or refer it to trial

The Applicants ought to have foreseen these disputes and proceeded by way of action, not application. Their failure to do so renders the application procedurally improper. This point in limine is therefore upheld.

3. Res Judicata

The plea of *res judicata* was strongly pressed by the first Respondent. It was submitted that the issues raised in this application were conclusively determined under **HCHC429/22** and **HCHC307/22**, involving substantially the same parties and the same subject matter, namely the lawful directorship of the second Applicant

In *O'Shea v Chiunda 1991 (1) ZLR 333 (S)*, the court held that *res judicata* applies where the matter is between the same parties, concerning the same subject matter, and founded on the same cause of action. The principle was further affirmed in *Juckson v Juckson 1985 (2) ZLR 313*, where the court emphasised the public interest in finality of litigation.

The Applicants are, in essence, inviting this Court to revisit issues already settled by competent courts, including the Supreme Court, which dismissed the appeal in **SC 16/22**. This Court cannot sit on appeal over its own final orders. The plea of *res judicata* is accordingly well taken.

4. Locus Standi

The authority of the deponent to act on behalf of the second Applicant was also challenged. Court orders **HCHC429/22** and **HCHC307/22** expressly declared that **Ropafadzo Sibusiso Chidawu** is not a director of the second Applicant

In *Sibanda & Others v Apostolic Faith Mission SC 49/18*, the Supreme Court reaffirmed that locus standi requires a direct and substantial interest in the matter. Similarly, in *Makarudze & Anor v Dungu & Others HH 8/**15***, locus standi was defined as the legal capacity to institute proceedings

In the absence of lawful directorship or valid authorisation from the board, the deponent lacked the requisite capacity to institute proceedings on behalf of the second Applicant. This defect is fatal.

5. Failure to Meet the Requirements of a Declarator

Section 14 of the High Court Act [*Chapter 7:06]* requires that an applicant for declaratory relief demonstrate a direct and substantial interest. The Applicants failed to place credible proof before the Court establishing lawful ownership or control of the second Applicant.

On the contrary, the extant court orders confirm the first Respondent's directorship, making it legally untenable for the Applicants to claim exclusive control without her involvement or consent

The requirements for a declarator have therefore not been met.

Conclusion

Each of the points in limine raised by the first Respondent is dispositive of the matter. The application is tainted by material non-disclosure, riddled with irresoluble disputes of fact, barred by *res judicata*, instituted without locus standi, and fails to satisfy the requirements for declaratory relief.

In light of the above, it is unnecessary and indeed improper for this Court to venture into the merits.

Order

1. The application is dismissed in its entirety.
2. The Applicants shall jointly and severally pay the first Respondent's costs on an ordinary scale.

KATIYO J AGREES: …….

Lunga Mazikana Investment and Corporate Attorneys, applicant's legal practitioners
Kwiriwiri Law Chambers, respondent's legal practitioners